

# Delta Advanced Trucking, Inc.

## AI Use & Governance Policy

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|

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|                     |                                                  |                   |                                                             |
|---------------------|--------------------------------------------------|-------------------|-------------------------------------------------------------|
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## 1. Purpose

Delta Advanced Trucking, Inc. ("the Company") recognizes that artificial intelligence (AI) tools represent a significant opportunity to enhance operational efficiency, improve safety outcomes, and drive competitive advantage across our transportation and logistics operations. At the same time, AI systems introduce risks related to data privacy, regulatory compliance, accuracy, and ethical use that must be proactively managed.

This policy establishes responsible, clear, and enforceable guidelines for the use of artificial intelligence tools and systems at Delta Advanced Trucking, Inc. It is designed to ensure that AI is leveraged safely, ethically, and in full compliance with applicable federal, state, and industry regulations — while protecting the confidentiality of company and customer data, preserving human accountability, and supporting a culture of responsible technology adoption.

This policy does not seek to discourage the use of AI. Rather, it establishes a governance framework that enables employees to benefit from AI tools with clarity, confidence, and appropriate safeguards in place.

 **Policy Intent**

This policy enables responsible AI adoption. Employees are encouraged to explore and leverage approved AI tools to improve their work. Governance exists to protect the Company, our customers, and our people — not to limit innovation.

## 2. Scope

This policy applies to **all individuals** who access, use, or interact with artificial intelligence tools in connection with Delta Advanced Trucking, Inc. business activities, regardless of employment status, location, or device used. This includes:

- Full-time and part-time employees at all levels and departments
- Contractors, temporary workers, and staffing agency personnel
- Vendors, partners, and third-party service providers with access to Company systems or data
- Interns and student workers

This policy covers, but is not limited to, the following categories of AI technology:

| AI Category                      | Examples                                                                    | Applicable Sections |
|----------------------------------|-----------------------------------------------------------------------------|---------------------|
| <b>Generative AI</b>             | Chatbots, writing assistants, code generators, image generators             | 4, 5, 6, 7, 9, 11   |
| <b>Fleet &amp; Telematics AI</b> | Route optimization engines, predictive maintenance platforms, ELD analytics | 6, 7, 10            |
| <b>Driver Safety AI</b>          | Behavior monitoring, HOS pattern analysis, driver coaching platforms        | 6, 7, 10, 12        |

| AI Category                       | Examples                                                                | Applicable Sections |
|-----------------------------------|-------------------------------------------------------------------------|---------------------|
| <b>Automated Decision Systems</b> | AI-assisted hiring tools, dispatch automation, compliance scoring       | 5, 7, 12            |
| <b>Advanced Vehicle Systems</b>   | ADAS, lane-keeping, collision avoidance, autonomous features            | 10                  |
| <b>Business Intelligence AI</b>   | AI-powered analytics dashboards, demand forecasting, financial modeling | 4, 6, 8             |

### 3. Definitions

For the purposes of this policy, the following terms shall have the meanings set forth below:

| Term                                | Definition                                                                                                                                                                                                     |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Artificial Intelligence (AI)</b> | Software systems that perform tasks typically requiring human intelligence, including reasoning, learning, prediction, decision-making, language understanding, and content generation.                        |
| <b>Generative AI</b>                | A class of AI capable of generating new content — including text, images, code, audio, or data — in response to user prompts. Examples include large language models and image generation tools.               |
| <b>Large Language Model (LLM)</b>   | A type of AI model trained on large volumes of text data to understand and generate human language. LLMs power most generative AI chatbots and writing assistants.                                             |
| <b>AI Hallucination</b>             | The phenomenon in which an AI system generates output that is factually incorrect, fabricated, or nonsensical, but is presented with apparent confidence. All AI-generated content carries hallucination risk. |
| <b>Training Data</b>                | The data used to build and refine an AI model. Submitting Company data to certain AI systems may result in that                                                                                                |

| Term                                   | Definition                                                                                                                                                                                                                            |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                        | data being incorporated into the vendor's training datasets.                                                                                                                                                                          |
| <b>Prompt</b>                          | The instruction, question, or input provided by a user to an AI system to elicit a response or output.                                                                                                                                |
| <b>AI-Assisted Decision Making</b>     | A process in which an AI system provides recommendations, analysis, or ranked options that inform — but do not replace — a human decision maker.                                                                                      |
| <b>Automated Decision System (ADS)</b> | A system that uses algorithms or AI to make or significantly influence decisions about individuals, such as employment, routing assignments, or compliance determinations, with limited or no human review at the point of decision.  |
| <b>AI Risk</b>                         | The potential for AI systems to produce unintended harms including data breaches, regulatory violations, discriminatory outcomes, reputational damage, safety failures, or financial loss.                                            |
| <b>Approved AI Tool</b>                | An AI tool or platform that has been reviewed and formally approved by IT Security for use at Delta Advanced Trucking, Inc. Only Approved AI Tools may be used for Company work.                                                      |
| <b>Data Processing Agreement (DPA)</b> | A legally binding contract between the Company and a vendor that governs how personal data shared with the vendor is processed, stored, and protected.                                                                                |
| <b>Confidential / Restricted Data</b>  | As defined in DAT-IT-001 (Acceptable Use Policy): data whose unauthorized disclosure could harm the Company, its employees, customers, or partners. Includes PII, financial records, contracts, and proprietary business information. |

## 4. Approved AI Tools

The IT Department maintains the **Delta Advanced Trucking Approved AI Tools Register**, a current list of AI tools and platforms authorized for use in connection with Company work. This register is maintained on the Company intranet and updated by IT Security as approvals are granted or revoked.

## 4.1 Approval Requirement

**No AI tool may be used for Company business unless it appears on the Approved AI Tools Register.** This requirement applies regardless of whether the tool is free, consumer-grade, or already used personally by the employee. The use of unapproved AI tools on Company systems, with Company data, or for Company work is a violation of this policy.

## 4.2 Approval Process

Any employee, contractor, or department wishing to use a new AI tool in connection with Company work must submit a request to IT Security prior to use. IT Security will evaluate the tool and render a decision within ten (10) business days. Approval evaluation considers:

- **Data privacy practices** — How does the vendor collect, store, and process user-submitted data?
- **Vendor security posture** — Does the vendor maintain industry-standard security certifications (e.g., SOC 2 Type II, ISO 27001)?
- **Data retention policies** — How long does the AI provider retain prompts, outputs, and session data?
- **Training data practices** — Does the vendor use customer-submitted data to train or improve its public AI models?
- **Terms of service** — Are the vendor's terms of service compatible with the Company's data governance obligations?
- **Regulatory compatibility** — Does the tool's operation comply with applicable laws, including EEOC guidance on AI in employment and applicable state AI laws?
- **Integration risks** — What are the risks introduced by integrating the tool with existing Company systems?

## 4.3 Departmental Responsibility

Department heads are responsible for ensuring that all personnel within their teams are aware of this requirement and are only using approved tools. IT Security will periodically audit tool usage across the organization.

### **i How to Request a New Tool**

Submit a New AI Tool Request via the IT Help Desk portal. Include the tool name, intended use case, data types that would be submitted, and the vendor's privacy policy link. IT Security will contact you with the decision.

## **5. Prohibited AI Uses**

The following uses of AI are strictly prohibited at Delta Advanced Trucking, Inc. Violations may result in disciplinary action up to and including termination of employment and may expose the Company or the individual to legal liability.

### **5.1 Prohibited Data Inputs**

Employees must **never** input the following categories of information into any AI tool — whether approved or unapproved — unless the tool has been specifically authorized by IT Security for that data type:

**Customer Personally Identifiable Information (PII)** — Names, addresses, phone numbers, email addresses, or any data that identifies a specific customer or shipper.

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**Driver Personal Records** — Social Security Numbers (SSNs), driver's license numbers, medical examination results, drug test records, or any FMCSA-regulated driver qualification file information.

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**Financial Data** — Bank account information, payroll data, financial statements, pricing strategies, customer credit information, or tax records.

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**Contracts and Legal Documents** — Customer contracts, carrier agreements, settlement documents, or any document subject to attorney-client privilege.

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**Proprietary Business Strategies** — Unreleased pricing models, acquisition plans, competitive strategies, bids in preparation, or trade secrets.

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**Security Configurations** — System passwords, network topology diagrams, firewall rules, API keys, or access credentials of any kind.

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**Incident Information** — Details of accidents, cargo claims, insurance claims, regulatory investigations, or any matter potentially subject to litigation.

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**Any Confidential or Restricted Data** — As classified under DAT-IT-001 unless specifically authorized for a given approved tool.

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## 5.2 Prohibited Actions

Employees must **never** use AI tools to:

- Create fraudulent, falsified, or deceptive documents of any kind, including invoices, compliance reports, safety records, or identity documents
- Bypass, circumvent, or undermine any Company security control, access restriction, or monitoring system
- Generate misleading safety or regulatory compliance reports, or falsify Hours of Service (HOS) records or vehicle inspection results
- Make final automated decisions on employment actions — including hiring, termination, discipline, or promotion — without mandatory human review and approval
- Impersonate another person, Company representative, or regulatory authority
- Generate content that is discriminatory, harassing, or violates the Company's Equal Employment Opportunity policies



- Submit competitor-sensitive intelligence or market analysis to external AI systems where such information could be used to train public models
- Submit legally privileged communications or attorney work product to any external AI system

#### ⚠ **Zero Tolerance Items**

Using AI to falsify safety records, HOS logs, vehicle inspection results, or drug and alcohol compliance documentation is a zero-tolerance violation and will result in immediate termination and potential referral to regulatory authorities.

## 6. Approved Use Cases

The following use cases are approved for AI use at Delta Advanced Trucking, Inc., subject to the tool approval requirements in Section 4, data restrictions in Section 5, and human oversight requirements in Section 7.

| Use Case                                               | Description                                                                                                                               | Conditions                                                                                             |
|--------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| <b>Internal Communications &amp; Document Drafting</b> | Drafting internal memos, policies, general business correspondence, meeting summaries, and training materials using generative AI.        | Human review required before any distribution. No Confidential/Restricted data in prompts.             |
| <b>Route Optimization &amp; Fleet Efficiency</b>       | AI-powered dispatch routing, load optimization, and fuel efficiency analytics through approved telematics and fleet management platforms. | Approved telematics platforms only. Human dispatcher retains final routing authority (see Section 10). |
| <b>Predictive Maintenance Analytics</b>                | AI analysis of vehicle telematics, sensor data, and maintenance history to predict component failures and optimize service intervals.     | AI recommendations must be reviewed and confirmed by a qualified human mechanic before action.         |
| <b>Driver Coaching &amp; Safety Analytics</b>          | HOS pattern analysis, fatigue risk monitoring,                                                                                            | Driver notification required per applicable                                                            |

| Use Case                                     | Description                                                                                                                                            | Conditions                                                                                                                                       |
|----------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
|                                              | harsh braking/acceleration detection, and AI-generated driver performance coaching recommendations.                                                    | law. Human safety manager reviews before formal action. Bias review required (see Section 12).                                                   |
| <b>General Productivity Tasks</b>            | Summarizing non-sensitive documents, proofreading, research assistance, calendar management, and drafting non-confidential content.                    | Non-sensitive, non-confidential information only. Approved tools only.                                                                           |
| <b>IT Code Drafting &amp; Review</b>         | IT staff use of AI code assistants to draft, debug, refactor, or document code for internal systems and integrations.                                  | All AI-generated code must be reviewed by a qualified developer before deployment. No credentials or proprietary system architecture in prompts. |
| <b>Training &amp; Learning Content</b>       | Developing driver safety training materials, onboarding content, and compliance awareness resources with AI assistance.                                | Content reviewed by subject matter expert (Safety or Compliance) before distribution.                                                            |
| <b>Business Intelligence &amp; Analytics</b> | AI-powered dashboards and analytics for operational KPIs, fuel spend analysis, and freight performance reporting using aggregated, de-identified data. | Approved platforms only. Aggregated/de-identified data only. Output reviewed before business decisions.                                          |

## 7. Human Oversight Requirements

Delta Advanced Trucking, Inc. is committed to the principle that **AI systems advise; humans decide**. No AI system operates with full autonomy in any business-critical, safety-critical, or legally significant context within this organization.

## 7.1 Mandatory Human Review — General

AI-generated content **must be reviewed and approved by a qualified human** before use in any of the following contexts:

- Official Company communications distributed to external parties (customers, carriers, regulators)
- Customer-facing documents, proposals, quotes, or service agreements
- Legal documents, contracts, or regulatory submissions of any kind
- Public-facing content including website copy, press releases, or social media
- Human Resources communications including offer letters, disciplinary notices, or termination letters
- Safety bulletins, driver advisories, or compliance-related communications

## 7.2 Mandatory Human Review — Safety-Critical Contexts

In all safety-critical operational contexts, AI recommendations must be reviewed by a qualified human before any action is taken. Qualified reviewers are defined by role as follows:

| AI Application                                   | Required Human Reviewer                            | Review Requirement                                                         |
|--------------------------------------------------|----------------------------------------------------|----------------------------------------------------------------------------|
| Predictive maintenance alerts                    | Certified fleet mechanic or maintenance supervisor | Must confirm diagnosis before scheduling or deferring service              |
| Driver safety scoring / coaching recommendations | Safety Manager or Director of Safety               | Must review before issuing formal coaching, warning, or discipline         |
| HOS compliance flagging                          | Compliance Officer or Fleet Manager                | Must confirm before regulatory submission or driver restriction            |
| Route optimization recommendations               | Dispatcher or Load Planner                         | Human retains final authority over dispatch decisions                      |
| ADAS / autonomous vehicle alerts                 | Driver (primary); Operations Manager (secondary)   | Driver always retains vehicle control. Incidents escalated per DAT-IT-012. |
| Employment-related AI                            | HR Manager +                                       | Required before any                                                        |

| AI Application  | Required Human Reviewer | Review Requirement                                     |
|-----------------|-------------------------|--------------------------------------------------------|
| recommendations | Department Head         | hiring, promotion, disciplinary, or termination action |

### 7.3 AI Reliability Awareness

All employees using AI tools must be aware that AI systems can and do produce errors, including factual inaccuracies, outdated information, omissions, and hallucinations. The employee using the AI output retains professional responsibility for the accuracy and appropriateness of any work product they submit or act upon, regardless of whether AI was used in its creation.

## 8. Data Privacy & AI Vendors

The use of AI tools introduces specific data privacy risks that differ from traditional software. When a user submits information in an AI prompt, that information may be transmitted to, stored by, or used to train models belonging to the AI vendor. Delta Advanced Trucking, Inc. takes a rigorous approach to vendor data practices.

### 8.1 Pre-Use Verification

Before using any approved AI tool with Company data (even non-sensitive data), employees and IT personnel must confirm that:

- The vendor's terms of service confirm that **Company-submitted data is not used to train public AI models**
- Session data and prompts are **not retained beyond the session** unless business necessity requires it and the retention is disclosed
- The vendor has executed an appropriate **Data Processing Agreement (DPA)** with Delta Advanced Trucking, Inc. (coordinated through IT and Legal)
- The tool appears on the **Approved AI Tools Register**

### 8.2 Vendor Assessment Standards

IT Security evaluates AI vendors against the following minimum data privacy standards prior to approval:

- Compliance with applicable U.S. privacy laws, including state-level AI and privacy statutes
- Clear and accessible privacy policy and data retention schedule
- Ability to delete Company data upon request
- Prohibition on selling or licensing Company-submitted data to third parties
- Security certifications appropriate to the sensitivity of data handled (e.g., SOC 2 Type II)

### 8.3 Incident Notification

If an employee discovers or suspects that Company data submitted to an AI tool has been exposed, misused, or incorporated into a public model without authorization, they must report this immediately to IT Security per the procedures in Section 13 and DAT-IT-012.

#### **Data Submission Caution**

When in doubt about whether information is appropriate to submit to an AI tool, do not submit it. Contact IT Security for guidance. No business task justifies the exposure of Confidential or Restricted Company data to an unapproved or improperly configured AI system.

## 9. Transparency & Disclosure

### 9.1 Internal Use — Routine Drafting

Employees are not required to disclose the use of AI assistance for routine internal drafting tasks such as preparing internal memos, summarizing meeting notes, or drafting non-sensitive communications, provided the content has been reviewed and is accurate. AI is treated in this context as a productivity tool, similar to grammar-check software or templates.

## 9.2 Disclosure Required — Material Contexts

Employees **must not represent AI-generated content as entirely their own original work** — without appropriate disclosure — in contexts where the origin of the content materially matters. Disclosure is required in the following situations:

- **Legal and regulatory filings** — Any document submitted to a court, regulatory agency, or government body that was substantially generated by AI must disclose AI involvement to Legal and Compliance prior to submission
- **HR and employment decisions** — Any performance review, disciplinary write-up, or employment recommendation substantially drafted by AI must be disclosed to HR and reviewed accordingly
- **Academic or professional credentials** — Employees submitting work for certification, continuing education, or professional licensing must comply with those programs' own AI use policies
- **Customer-facing proposals or reports** — Where a customer has stated an expectation of original human-authored analysis, AI assistance must be disclosed

## 9.3 External Representation

Employees must not affirmatively misrepresent to customers, regulators, or the public that AI-generated content was produced entirely by human effort when such misrepresentation would be material or deceptive.

# 10. AI in Fleet Operations

AI technology plays an increasingly important role in commercial trucking operations. The following table sets forth the governance framework for AI applications specific to Delta Advanced Trucking, Inc. fleet and transportation operations.

| AI Application                           | Approval Status | Governance Requirements                       |
|------------------------------------------|-----------------|-----------------------------------------------|
| AI-Powered Dispatch & Route Optimization | Approved        | Approved through vendor review process. Human |

| AI Application                                   | Approval Status                               | Governance Requirements                                                                                                                                                                                                                                 |
|--------------------------------------------------|-----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                  |                                               | dispatcher retains final authority over all routing and load assignment decisions. AI recommendations are advisory only.                                                                                                                                |
| <b>Driver Behavior Monitoring AI</b>             | <b>Approved</b>                               | Approved with mandatory driver notification. Drivers must be informed in writing of monitoring systems in use, consistent with applicable federal and state law. Data used for coaching and safety improvement only, subject to Section 12 bias review. |
| <b>Predictive Maintenance AI</b>                 | <b>Approved</b>                               | Approved. All maintenance decisions — including whether to place a vehicle out of service — require confirmation by a qualified human mechanic. AI outputs are treated as alerts, not diagnoses.                                                        |
| <b>ELD &amp; HOS Pattern Analytics</b>           | <b>Approved</b>                               | Approved through integrated FMCSA-compliant ELD platforms. Compliance determinations reviewed by Compliance Officer before action. Records maintained per FMCSA retention requirements.                                                                 |
| <b>Fuel Efficiency &amp; Emissions Analytics</b> | <b>Approved</b>                               | Approved. Aggregated and vehicle-level data may be analyzed. Outputs used for fleet planning and driver coaching, subject to standard oversight requirements.                                                                                           |
| <b>Autonomous Vehicle / ADAS Features</b>        | <b>Conditional — Separate Review Required</b> | Requires joint approval by IT Security and Operations prior to deployment on any Company vehicle. Safety review must assess FMCSA compliance, liability, driver training                                                                                |

| AI Application                                      | Approval Status                         | Governance Requirements                                                                                                                                                  |
|-----------------------------------------------------|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                     |                                         | requirements, and incident response procedures. Driver retains vehicle control at all times. Treated as separate safety-critical technology deployment.                  |
| <b>AI-Powered Load Matching / Freight Brokerage</b> | <b>Conditional — IT Review Required</b> | Each platform must be reviewed individually. Human operations staff must review load acceptance recommendations. No automated contract formation without human approval. |

#### **Fleet AI Philosophy**

AI in fleet operations exists to support our dispatchers, mechanics, safety managers, and drivers — not to replace their judgment. Every AI-driven recommendation in a safety or compliance context is a starting point for human review, not a final answer.

## 11. Intellectual Property

### 11.1 Copyright Limitations of AI-Generated Output

Employees must understand that **purely AI-generated content — without meaningful human creative contribution — may not be fully protected by U.S. copyright law**. The U.S. Copyright Office has determined that works produced entirely by AI without human authorship are not eligible for copyright registration. This means the Company may not be able to claim exclusive copyright ownership over content that is entirely AI-generated.



## 11.2 AI-Assisted Work with Human Contribution

Work that reflects significant human creative input, selection, arrangement, and modification — even if AI tools were used in its production — may retain copyright protections for the human-authored elements. Employees are encouraged to engage meaningfully with AI outputs through review, editing, and creative direction to preserve intellectual property value.

## 11.3 Vendor IP Terms

Some AI vendor terms of service grant the vendor a license to use outputs generated on their platform. IT Security will evaluate vendor IP terms as part of the approval process and flag any terms that conflict with the Company's proprietary interests. Employees must not assume that AI-generated outputs produced on third-party platforms are free of third-party IP entanglements.

## 11.4 Third-Party IP in AI Outputs

AI-generated content may inadvertently reproduce portions of copyrighted third-party material from training data. Employees must review AI-generated content for potential third-party IP concerns before publication or external distribution. Concerns should be escalated to Legal.

# 12. Ethics & Bias

## 12.1 Bias Review Requirement

AI tools used in any context that involves assessments of individual employees or applicants — including driver performance evaluation, employment decisions, routing assignments, or productivity scoring — **must be reviewed for potential algorithmic bias** before deployment and periodically during use. The AI Governance Committee (Section 15) oversees this review process.

## 12.2 Prohibited Discriminatory Outcomes

**Discriminatory outcomes produced by AI systems are prohibited, regardless of the tool used or the intent of the operator.** The fact that a discriminatory result was generated by an AI algorithm does not insulate the Company or the responsible employee from liability under federal or state anti-discrimination law. This prohibition covers, but is not limited to:

- Disparate impact on protected classes in hiring or employment decisions facilitated by AI scoring
- Route or load assignment patterns that disproportionately disadvantage drivers of a protected class
- Driver monitoring or coaching systems that produce systematically different outcomes across racial, gender, or age groups without objective operational justification

### **12.3 Bias Incident Escalation**

Any employee who observes or suspects that an AI tool is producing biased, discriminatory, or unfair outcomes must report the concern to their supervisor and to IT Security or HR. Bias concerns will be reviewed by the AI Governance Committee and, where required, escalated to Legal.

### **12.4 Ethical Use Commitment**

Delta Advanced Trucking, Inc. is committed to using AI in a manner consistent with the dignity and rights of all individuals — employees, drivers, customers, and the public. Ethical considerations are a standing agenda item of the AI Governance Committee.

## **13. Incident Reporting**

### **13.1 Reportable AI-Related Incidents**

The following events constitute AI-related security or policy incidents that must be reported promptly:

- Accidental submission of Confidential or Restricted data to an AI tool (approved or unapproved)
- Discovery that an AI vendor has experienced a data breach affecting Company data
- AI-generated misinformation or hallucination that was acted upon and caused operational, financial, or safety harm

- Suspected or confirmed use of AI to falsify Company records or compliance documentation
- Discovery of an employee or contractor using an unapproved AI tool with Company data
- AI-generated content that may have infringed third-party intellectual property rights
- Suspected algorithmic bias producing discriminatory outcomes (see Section 12.3)

## 13.2 Reporting Procedures

| Incident Type                                        | Report To                                                             | Timeframe                  |
|------------------------------------------------------|-----------------------------------------------------------------------|----------------------------|
| Data exposure via AI tool (PII, Confidential data)   | IT Security — immediately; follow DAT-IT-012 Incident Response Policy | Immediately upon discovery |
| AI policy misuse by employee or vendor               | IT Security and HR                                                    | Within 24 hours            |
| AI-generated misinformation causing operational harm | Supervisor and IT Security                                            | Within 24 hours            |
| Vendor data breach involving AI platform             | IT Security and Legal — follow DAT-IT-012                             | Immediately upon discovery |
| Suspected algorithmic bias                           | HR and IT Security; escalated to AI Governance Committee              | Within 48 hours            |

All AI-related security incidents are subject to the full incident response lifecycle defined in **DAT-IT-012 (Incident Response Policy)**, including documentation, root cause analysis, and corrective action.

## 14. Regulatory Compliance

Delta Advanced Trucking, Inc.'s AI governance framework is designed to support compliance with the following regulatory frameworks and guidance. The AI

Governance Committee monitors the evolving regulatory landscape and updates this policy accordingly.

| <b>Regulatory Framework</b>              | <b>Relevance to DAT AI Use</b>                                                                                                                                                                                                                    |
|------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Executive Order on AI (Federal)</b>   | Where applicable to government contractors or federally regulated operations, the Company aligns AI practices with federal AI safety and trustworthiness principles.                                                                              |
| <b>FTC AI Guidance</b>                   | The Company ensures AI tools used in commercial contexts do not engage in deceptive or unfair practices as defined by Federal Trade Commission guidance on AI and algorithmic systems.                                                            |
| <b>EEOC Guidance on AI in Employment</b> | All AI tools used in hiring, performance management, or employment decision support are evaluated for disparate impact and compliance with Equal Employment Opportunity Commission technical assistance on automated hiring and employment tools. |
| <b>State AI Laws</b>                     | The Company monitors and complies with state-level AI and automated decision-making laws applicable to its operations, including any applicable state laws governing employee monitoring and algorithmic employment tools.                        |
| <b>DOT / FMCSA Emerging AI Guidance</b>  | The Company actively monitors Department of Transportation and FMCSA guidance on the use of AI and automated systems in commercial vehicle operations, including ELD compliance, ADAS regulation, and autonomous vehicle standards.               |
| <b>State &amp; Federal Privacy Laws</b>  | AI vendor data practices must comply with applicable privacy laws governing the personal data of employees, drivers, and customers, including state biometric data laws where applicable to driver monitoring systems.                            |

The AI Governance Committee will work with Legal to assess the impact of new AI-specific legislation or regulatory guidance as it is issued and will update this policy or issue interim guidance as appropriate.

## 15. AI Governance Committee

### 15.1 Composition

The Delta Advanced Trucking AI Governance Committee is established as a standing cross-functional body responsible for the oversight, review, and continuous improvement of AI governance at the Company. The Committee is composed of the following standing members:

- **IT Director** — Committee Chair; responsible for approved tools register and technical oversight
- **Chief Information Security Officer (CISO)** — Responsible for AI security risk and vendor assessment
- **Legal Counsel (or designee)** — Responsible for regulatory compliance and IP matters
- **Operations Representative** — Responsible for fleet AI integration and operational requirements

The Committee may invite additional stakeholders — including HR, Safety, Compliance, and Finance representatives — to attend relevant sessions as needed.

### 15.2 Responsibilities

- Maintain and update the Approved AI Tools Register
- Review and adjudicate AI-related incident reports
- Conduct semi-annual policy review (Section 17)
- Monitor AI regulatory developments and issue interim guidance
- Review AI tools used in employment and driver evaluation for bias (Section 12)
- Approve ADAS and autonomous vehicle technology deployments (Section 10)
- Report to Executive Leadership on AI risk posture and governance status

## 15.3 Meeting Cadence

The AI Governance Committee meets on a **quarterly basis**, with emergency sessions convened as needed in response to significant AI-related incidents, regulatory changes, or technology developments. Meeting minutes are maintained by the IT Director and distributed to Executive Leadership.

## 16. Enforcement

Compliance with this policy is mandatory for all individuals within its scope. Delta Advanced Trucking, Inc. takes AI governance seriously, both as a matter of protecting the Company and as an expression of its commitment to ethical business practices.

Violations of this policy will be addressed through the Company's standard disciplinary process in coordination with HR, IT Security, and Legal, as appropriate to the nature and severity of the violation. Consequences may include:

| Violation Severity               | Examples                                                                                                                                          | Potential Consequences                                                              |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <b>Minor</b>                     | Using an unapproved tool for low-risk, non-sensitive tasks without malicious intent; failure to disclose AI use in a non-critical context         | Verbal or written warning; mandatory AI policy retraining                           |
| <b>Moderate</b>                  | Submitting non-sensitive but proprietary information to an unapproved tool; repeated minor violations; failure to apply human review requirements | Written warning; disciplinary action per Employee Handbook; increased monitoring    |
| <b>Serious</b>                   | Submitting Confidential/Restricted data to an unapproved or insecure AI tool; using AI to circumvent security controls                            | Suspension; termination; potential legal action; referral to regulatory authorities |
| <b>Critical / Zero Tolerance</b> | Using AI to falsify safety records, HOS logs, or compliance documentation; using AI                                                               | Immediate termination; referral to law enforcement and/or FMCSA; civil or criminal  |

| Violation Severity | Examples                                                                | Potential Consequences |
|--------------------|-------------------------------------------------------------------------|------------------------|
|                    | for fraud or deception;<br>deliberate data exfiltration<br>via AI tools | liability              |

For contractors and vendors, violations may result in contract termination and, where applicable, reporting to the relevant regulatory authority. The Company reserves all rights to pursue legal remedies for AI policy violations that result in financial, reputational, or legal harm.

#### **Good Faith Reporting**

Employees who report AI-related incidents in good faith — including their own inadvertent violations — will be treated with appropriate consideration. The Company values transparency and early reporting over concealment. Retaliation against employees who report AI concerns in good faith is strictly prohibited.

## 17. Policy Review

Given the rapidly evolving nature of artificial intelligence technology, the regulatory environment, and the trucking industry's expanding use of AI-driven systems, this policy is subject to **semi-annual review** — more frequently than most Company IT policies.

The **AI Governance Committee** is responsible for initiating and completing each review cycle. Reviews will assess:

- Changes in the AI regulatory landscape at the federal and state level
- New AI tools or capabilities adopted or under consideration by the Company
- Lessons learned from AI-related incidents since the last review
- Emerging best practices in AI governance for the transportation and logistics industry
- FMCSA and DOT guidance developments relevant to AI in commercial vehicle operations

- Employee feedback on policy clarity and usability

Substantive policy amendments require approval by the IT Director, CISO, and Legal, with notification to the CEO. Minor clarifications may be issued as interim guidance by the AI Governance Committee pending the next scheduled review cycle. All policy versions will be maintained in the Company's document control system.

| Version | Date              | Summary of Changes                                                                                                                                                                                                                                                              | Approved By                   |
|---------|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|
| 1.0     | March 1, 2024     | Initial policy release. Established foundational AI use guidelines and approved tools framework.                                                                                                                                                                                | IT Director / CEO             |
| 2.0     | December 12, 2025 | Comprehensive revision. Added fleet AI governance framework, ADAS provisions, AI Governance Committee charter, expanded bias and ethics requirements, vendor DPA requirements, and regulatory compliance table. Aligned with updated federal and state AI regulatory landscape. | AI Governance Committee / CEO |

## 18. Authorization & Signature

This policy has been reviewed, approved, and authorized by the Chief Executive Officer of Delta Advanced Trucking, Inc. and is effective as of the date indicated below. All prior versions of this policy are hereby superseded.

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*L. Thomas Marchland*

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**L. Thomas Marchland**

Chief Executive Officer, Delta Advanced Trucking, Inc.

Date: December 12, 2025

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**DAT-IT-008 | Version 2.0 | Effective December 12, 2025 | Classification:  
Internal**

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